EXECUTIVE MEMORANDUM

ERP Transformation Program — Strategy & Execution Plan

To:	AMG Executive Team	**From:**	ERP Transformation Advisory
Date:	June 2026	**Subject:**	ERP Replacement Program — Approach, Scope & Data Strategy

Executive Summary

Alpha Manufacturing Group faces an urgent operational risk: a 20+ year-old ERP system is causing margin erosion on approximately 80% of custom orders, while a fragile nightly BOM sync continues to trigger manufacturing delays. The Board has mandated a cloud ERP replacement within 12 months. This memorandum outlines our recommended approach — phased, risk-controlled, and focused on restoring operational integrity before expanding capability.

1. Program Approach & Structure

Our recommended program is structured in three phases over 12 months, with a clear mandate: stabilize first, then optimize.

Phasing Roadmap

Phase	Timeline	Key Activities
1 – Foundation	Months 1–3	Discovery workshops, data quality audit, ERP vendor selection, process mapping, change management launch
2 – Build & Test	Months 4–9	ERP configuration, native BOM integration, parallel run, user acceptance testing (UAT), data migration dry-runs
3 – Go-Live & Stabilize	Months 10–12	Cutover (away from month-end), hypercare support, legacy system archived in read-only, reporting validation

Key Objectives

- Eliminate the fragile BOM/Engineering sync by adopting native ERP BOM management
- Restore contribution margin visibility through integrated job costing and labor tracking
- Reduce Excel dependency by bringing Finance, MRP, and Procurement onto a single platform
- Maintain uninterrupted operations throughout the transition — no revenue-impacting downtime
- Achieve go-live within 12 months while preserving scope discipline

Top 5 Program Risks

Risk	Rating	Mitigation
BOM Data Quality	HIGH	Mandatory data audit in Phase 1; no go-live without validated BOM accuracy
Scope Creep	HIGH	Formal change control board; every new item assessed for schedule & cost impact

Change Resistance	MED	Executive sponsor visible from Day 1; early user champions identified per department
Customization Trap	MED	"Configure, don't customize" rule; VP sign-off required for any deviation
Parallel Run Failure	MED	Stagger parallel close; run one complete month-end in both systems before cutover

Scope Control Principle: A change control board (CCB) will govern all scope requests post-kickoff. Any addition to scope must be evaluated for timeline, cost, and resource impact before approval. The program mandate is to go-live on time — not to implement every capability AMG might eventually need.

2. Scope & Sequencing

Not everything needs to go live on Day 1. Disciplined scope decisions are the single greatest predictor of on-time delivery.

Day-1 Must-Haves	Deliberately Deferred
Finance: GL, AR, AP, month-end close	CRM integration (currently unintegrated, low urgency)
Manufacturing/MRP with native BOM	HRIS/Payroll (siloed but stable — not a Day-1 dependency)
Procurement — PO lifecycle	Advanced BI dashboards & self-service analytics
Job costing & labor tracking	Customer-facing portal or configurator
Core KPI reporting: order margin, WIP, cash	Complex engineer-to-order configurator automation

Customization Discipline

- Adopt a "configure, don't customize" standard — use out-of-the-box ERP workflows wherever possible
- Target fewer than 10 material customizations at go-live; each requires a signed business case
- All customizations must be logged in a Decision Register with owner, rationale, and future review date
- Customization requests that can be addressed post-go-live via configuration are automatically deferred

3. Data, Reporting & Continuity

Historical Data Migration Strategy

- Migrate open transactions only: open orders, open POs, outstanding AR/AP balances, current inventory on hand
- Keep legacy ERP in read-only archive mode for 12–24 months post go-live for historical lookups
- Do not migrate closed historical transactions — this is the most common cause of data migration overruns
- Define cutover balances with Finance: agree on a single "as of" date for opening balances in the new system

Reporting During Transition

- Stand up a parallel reporting layer (e.g., Power BI) connected to both legacy and new ERP before cutover
- Define a "golden dataset" — a single agreed source of truth for each KPI before go-live
- Assign a Data Steward role to own reporting continuity and resolve discrepancies between systems

- Leadership KPI dashboards (order margin, WIP, cash flow) must be validated in the new system before cutover

Month-End Close Continuity

- Schedule go-live in the first week of a month — never during or immediately before month-end close
- Run at least one full parallel close before cutover: Finance processes month-end in both old and new systems
- Document the complete close checklist and validate it in the new system during Phase 2 UAT
- Define explicit rollback criteria: if parallel close shows >5% variance on key accounts, delay go-live

Recommended Next Steps

1. Confirm executive sponsor and program steering committee by end of Week 1
2. Initiate ERP vendor RFP process immediately — vendor selection is the long-lead item
3. Launch BOM/data quality audit in parallel with vendor selection
4. Establish change control board and program governance framework before Phase 2 begins
5. Schedule kick-off communication to all 200 employees within 30 days

This memorandum represents our initial strategic recommendation. A detailed project plan, resource model, and vendor evaluation scorecard will be delivered upon engagement confirmation.